

Professionalism means more than a graduate degree in finance. The fund manager has experience: He's lived through good and bad markets and learned from both. He's spent years building contacts in industry and on Wall Street, and so have his colleagues in the firm. Professionals know where to turn for critical information. And they have clout. How-to investment books often advise individual investors to call up a company they're interested in to get information, but even if you overcome shyness and make the call, you talk to an investment relations officer. The fund manager and analyst get the skinny from the top brass.

---

The main argument for mutual funds is that your money is managed by a full-time professional.

---

Professionalism means expertise, and I mean beyond the ability to read balance sheets. Uncle David knew apparel manufacturing and retailing, but that sharply limited his investment horizon. To a large degree the key to recognizing exceptional growth opportunities in our day depends on an understanding of technology. It's important in evaluating not just computer, telecommunications, and software companies but almost every kind of manufacturing company, health care company, and other product and service firms. Since my undergraduate degree was in engineering, I am comfortable with technology matters, and I believe that has benefited my shareholders. At other funds the manager may have to rely on someone on the research staff or an outside consultant, but the knowledge is at hand.

Every business has its own jargon, and the ability to command some of that jargon when talking to people is extremely helpful. I remember once visiting a company that made valves for chemical